

Caso Danske Bank — SAR ficticio

About This Project

As I break into the Financial Crime and AML space, I wanted to move past just reading textbooks and actually get my hands dirty with a real-world scenario. This project is my hands-on analysis of the infamous **Danske Bank (Estonia) scandal**, but looked at through the lens of a frontline analyst.

Instead of just writing a generic summary of the fraud, I built a fictional scenario based on the real typologies used back then. I put myself in the shoes of a **Junior AML Analyst** who catches a massive transactional alert on a non-resident client.

To wrap up the investigation, I drafted a full **Suspicious Activity Report (SAR)** from scratch. My goal here was to practice exactly what international compliance teams do every day: spotting red flags, calculating how far a client is stepping out of their economic profile, and writing a clear, tight narrative for the regulators.

Frameworks & Typologies I Practiced

To make sure this report was realistic, I aligned my investigation with standard AML practices and the actual regulatory environment of that era (circa 2011):

- **FATF Standards:** I focused heavily on **Recommendation 20** (Reporting suspicious transactions) and **Recommendation 10** (Customer Due Diligence) to structure my findings.
- **The Rules of the Time:** Since the case takes place in 2011, I grounded my analysis in the **EU's 3rd AML Directive** and local Estonian AML laws (*MLTFPA*).
- **Spotting the Pattern:** The core of this case is a classic "**pass-through account setup**". I analyzed how shell companies (registered in opaque spots like the British Virgin Islands and Cyprus) were used as temporary transit points to move money out of Russia/CIS countries and clear it into the global financial system.

- **Crunching the Data:** I practiced running basic but critical alert metrics—specifically checking **transactional velocity** (money moving in and out in less than 72 hours) and calculating the **deviation ratio** (how much the actual volume exploded compared to what the client originally declared during onboarding).

 *Below is the actual SAR layout and investigation log I built. It shows the step-by-step breakdown from the initial trigger alert to the final compliance escalation:*

SAR:



SUSPICIOUS ACTIVITY REPORT SAR-2011-EST-00147



Risk : High — escalated to SEPBLAC / RAB Estonia

Field	Value
Report date	March 14, 2011
Reporting entity	Danske Bank, Estonia branch
Analyst	J.M. Cánovas Soler
Receiving unit	SEPBLAC / RAB Estonia

1. Identificación del sujeto

Campo	Valor
Entity name / Legal name	Baltica Trade Solutions OÜ
Entity type	Private Limited Company (OÜ), Estonia
Declared Ultimate Beneficial Owner (UBO)	Nikolai Volkov (passport RU-4421093)
Country of residence	Russian Federation

Campo	Valor
Declared business activity	Import/export of industrial machinery
Account opening date	January 03, 2010
Initial risk rating	Medium (Re-evaluated to High — see section 4)

2. Description of the Suspicious Activity

From February 2011 onwards, Baltica Trade Solutions OÜ's account exhibited a sudden, sharp spike in transactional volume that completely drifted away from the economic profile declared during onboarding. The entity originally reported an estimated annual turnover of approximately **EUR 180,000**. However, between January and March 2011, the account recorded incoming transfers totaling **EUR 4,200,000**, originating from three distinct counterparties based in **Latvia, Moldova, and the British Virgin Islands (BVI)**.



Rapid fund movement (velocity): Funds were transferred out almost in full within less than 72 hours to two accounts in **Cyprus** and one account in **Azerbaijan**, showing no clear business purpose or logic.



Missing supporting evidence: The client failed to provide verifiable commercial contracts, invoices, or customs/shipping documentation to back up the declared import/export trade activity.



Operational Assessment: The combination of high transaction velocity, geographic dispersion across high-risk hubs, and a complete lack of trade documentation indicates an intentional effort to layer funds. This operational behavior is designed to break the audit trail and shield the true source and destination of the capital.

The overall funds-flow structure—incoming transfers from higher-risk jurisdictions, a very brief transit window through the Estonian account, and immediate outgoing transfers to low-transparency hubs—is highly consistent

with a **"pass-through" account pattern** frequently used in Baltic-region money laundering schemes.

3. Relevant Transaction Details



Legend: **Alert** = A transaction that seems relevant enough to be reported · **Normal** = An ordinary account activity.

Date	Description	Amount	Status
Jan 12, 2011	Incoming transfer — Riga Capital LLC (LV)	€1,400,000	Alert
Jan 18, 2011	Outgoing transfer — Cyprus Holdings Ltd	€1,350,000	Alert
Feb 02, 2011	Incoming transfer — Moldavian Trade SRL (MD)	€900,000	Alert
Feb 05, 2011	Outgoing transfer — Baku Invest LLC (AZ)	€870,000	Alert
Feb 21, 2011	Incoming transfer — BVI Holdings Corp (BVI)	€1,900,000	Alert
Feb 24, 2011	Outgoing transfer — Cyprus Holdings Ltd	€1,870,000	Alert
Mar 08, 2011	Monthly bank fee	€320	Normal

4. Red Flag Indicators



Key red flags identified

1. **Transaction volume inconsistent with the customer's economic profile:** A declared turnover of EUR 180,000/year vs. EUR 4,200,000 in detected movements over a period of 60 days (An approximate of 23x deviation).
2. **Higher-risk jurisdictions at both ends of the flow:** cross-border routing which is consistent with **layering** (jurisdictional arbitrage with the objective of reducing the traceability).



Criminological reading: As a criminologist i can recognize this pattern which reflects a classic *opportunity structure*—moving value through permissive/opaque nodes to weaken guardianship (oversight) and also to fragment the audit trail.

Stage	Jurisdictions / nodes	Why it matters
Placement / intake	Latvia · Moldova · BVI	Inbound from higher-risk/opaque origins increases provenance risk
Transit	Estonia (pass-through account)	Short dwell time + high volume suggests routing rather than commerce
Layering / exit	Cyprus · Azerbaijan	Outbound to lower-transparency nodes consistent with concealment

1. **Extremely short fund transit time:** in all cases, the interval between incoming credit and outgoing transfer is under 72 hours, with no meaningful retention of funds or intermediary commercial activity.
2. **Lack of supporting commercial documentation:** supporting evidence requested (contracts, invoices, CMR) and not provided within 15 business days.
3. **Opaque beneficial ownership structure:** Cyprus Holdings Ltd shows no verifiable beneficial ownership in available registries; indicators consistent with a shell entity with no genuine operational activity.
4. **Possible link to an Azerbaijani laundering scheme:** Baku Invest LLC (AZ) appears in monitoring/watchlist sources associated with the “Azerbaijani Laundromat” as documented by OCCRP.

5. Measures Taken & Recommendation



An immediate and exhaustive control was initiated under the institution’s AML/CFT framework, which also include an escalation to the designated compliance function.

Measure	Status / details
Enhanced Due Diligence (EDD)	Yes — initiated on 01/03/2011

Measure	Status / details
Precautionary freeze	Pending Compliance authorization
Internal escalation	Escalated to the MLRO on 10/03/2011
Recommendation	File with the competent authority/FIU and assess account termination
Legal / regulatory basis	FATF Rec. 20 · Directive 2005/60/EC (3rd AMLD) · Estonian MLTFPA



Conclusion:

Looking at this case from a criminological perspective, it's a textbook example of a client exploiting structural vulnerabilities for financial crime. The account wasn't being used for legitimate business; it was deliberately weaponized as an operational tool.

By combining abnormal transaction volumes, rapid fund velocity, and high-risk jurisdictions, the perpetrators created a complex web specifically designed to degrade the bank's capability to monitor them. From a behavioral standpoint, the total lack of supporting documentation isn't just an administrative failure—it's a deliberate choice to hide the audit trail and shield the true actors involved. Under a Risk-Based Approach, the decision to escalate this to a SAR and push for immediate account closure is the only proportionate response. It directly disrupts the criminal opportunity structure and protects the financial system from further exploitation.